

Mindteck Investor Presentation

SECOND QUARTER ENDED SEPTEMBER 30, 2018

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights**

Q2 2018-19:

- USD Revenue at \$10.91 million, dip of 1.2% QoQ and 6.7% YoY.
- INR Revenue at ₹745.17 million, dip of 0.03% QoQ and 1.2% YoY.
- EBITDA at ₹13.98 million as against ₹14.64 million in June 2018 & ₹18.38 million in September 2017.
- Profit After Tax ("PAT") at ₹9 million as against ₹4 million in June 2018 & ₹3 million in September 2017.

FY 2018-19:

- USD Revenue for the six months ended September 30, 2018 at \$21.58 million, dip of 9.1% as against the corresponding period in the preceding year.
- INR Revenue at ₹1,490.57 million dip of 2.7% as against the corresponding period in the preceding year.
- EBITDA at ₹28.58 million as against ₹36.99 million as against the corresponding period in the preceding year.
- PAT at ₹13 million as against ₹19 as against the corresponding period in the preceding year.

Performance Summary

SEQUENTIAL Q2 FY 19 Vs. Q1 FY 19 (Unaudited)

Amount in ₹ million				
SL #	Particulars	Q2 19	Q1 19	Change %
1	Income:			
	a) Revenue	745	745	0%
	b) Other income	15	4	253%
	Total Income (a+b)	761	750	1%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	119	120	(1)%
	b) Employee benefits expense	526	521	1%
	c) Finance cost	4	2	74%
	d) Depreciation and amortization	7	4	47%
	e) Other expenses	86	89	(4)%
	Total Expenses (a+b+c+d+e)	742	738	1%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	19	12	54%
4	Tax expense	10	8	24%
	Profit/ (Loss) After Tax ("PAT") (3-4)	9	4	117%

Performance Summary

YoY Q2 FY 19 Vs. Q2 FY 18 (Unaudited)

SL #	Particulars	Q2 19	Q2 18	Change %
1	Income:			
	a) Revenue	745	754	(1.2)%
	b) Other income	15	6	171.2%
	Total Income (a+b)	761	760	0.1%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	119	143	(16.7)%
	b) Employee benefits expense	526	507	3.6%
	c) Finance cost	4	1	312.0%
	d) Depreciation and amortization	7	3	111.9%
	e) Other expenses	86	85	0.8%
	Total Expenses (a+b+c+d+e)	742	740	0.3%
3	Profit/ (Loss) Before Tax and exceptional item ("PBT") (1-2)	19	20	(6.4)%
4	Exceptional Item	-	16	(100.0)%
5	Profit/ (Loss) Before Tax (3-4)	19	4	386.4%
6	Tax expense	10	1	1120.7%
7	Profit/ (Loss) After Tax ("PAT") (5-6)	9	3	187.0%

Performance Summary

YoY FY 19 Vs. FY 18 (Unaudited)

Amount in ₹ million

SL #	Particulars	Q2 FY 19	Q2 FY 18	Change %
1	Income:			
	a) Revenue	1,491	1,532	(2.7)%
	b) Other income	20	12	61.6%
	Total Income (a+b)	1,511	1,544	(2.2)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	239	296	(19.0)%
	b) Employee benefits expense	1,047	1,019	2.8%
	c) Finance cost	7	2	214.7%
	d) Depreciation and amortization	11	6	78.6%
	e) Other expenses	175	180	(2.8)%
	Total Expenses (a+b+c+d+e)	1,480	1,503	(1.6)%
3	Profit/ (Loss) Before Tax and exceptional item ("PBT") (1-2)	31	41	(24.9)%
4	Exceptional Item	-	16	(100.0)%
5	Profit/ (Loss) Before Tax (3-4)	31	25	24.3%
6	Tax expense	18	6	203.4%
7	Profit/ (Loss) After Tax ("PAT") (5-6)	13	19	(32.6)%

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q2 2019	Q1 2019	Q2 2018	Growth %		FY 18
					QoQ	YoY	
Revenue		745	745	754	(0.03)%	(1.2)%	2,968
EBITDA		14	15	18	(4.5)%	(23.9)%	13
PAT		9	4	3	117.3%	187.0%	(57)

In \$ Million

Particulars		Q2 2019	Q1 2019	Q2 2018	Growth %		FY 18
					QoQ	YoY	
Revenue		10.91	11.05	11.70	(1.2)%	(6.7)%	46.00
EBITDA		0.20	0.22	0.28	(5.7)%	(28.2)%	0.20
PAT		0.13	0.06	0.04	114.7%	185.3%	(0.88)

USD/INR

Exchange Rate		Q2 2019	Q1 2019	Q2 2018	FY 18
Average (P&L)		68.3	67.5	64.5	64.5
Close (BS)		72.5	68.5	65.3	65.1

Fact Sheet

REVENUE METRICS

Geography		Q2 2019	Q1 2019	Q2 2018	FY 18
	USA	70%	71%	73%	72%
	IMEA	7%	6%	6%	6%
	Europe	8%	8%	7%	7%
	APAC	14%	15%	14%	14%

Delivery Centers		Q2 2019	Q1 2019	Q2 2018	FY 18
	USA	70%	71%	73%	72%
	India	6%	4%	4%	4%
	Singapore	8%	8%	9%	9%
	Malaysia	6%	7%	5%	5%
	UK	7%	7%	6%	6%
	Germany	2%	1%	1%	1%
	Baharin	1%	2%	2%	2%

Project Type		Q2 2019	Q1 2019	Q2 2018	FY 18
	Time & Material	96%	99%	97%	98%
	Fixed	4%	1%	3%	2%

Services		Q2 2019	Q1 2019	Q2 2018	FY 18
	Managed Services ("MS")	33%	31%	29%	29%
	Professional Services("PS")	67%	69%	71%	71%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q2 2019	Q1 2019	Q2 2018	FY 18
	Onsite	65%	69%	72%	72%
	Offshore	35%	31%	28%	28%

Revenue Mix - Business Offerings		Q2 2019	Q1 2019	Q2 2018	FY 18
	Talent Management	58%	60%	62%	62%
	Product Engineering	25%	25%	25%	24%
	Information Technology Services	16%	15%	14%	14%
	Smart City Services	1%	0%	0%	0%

OPERATIONAL METRICS

DSO		Q2 2019	Q1 2019	Q2 2018	FY 18
	Days	75	87	94	97

Fact Sheet

CLIENT METRICS

Clients		Q2 2019	Q1 2019	Q2 2018	FY 18
	Top 5	62%	67%	72%	72%
	Top 10	75%	78%	79%	79%

Other details		Q2 2019	Q1 19	FY 18
	No of Clients	87	86	115
	1 Mn +	3	3	3
	5 Mn +	1	1	1
	10 Mn +	1	1	1

EMPLOYEE METRICS

PEOPLE		Q2 2019	Q1 2019	FY 18
	<u>Total Headcount</u>	1,059	1,059	1,052
	Technical	876	880	882
	Support	183	179	170



**If you have any questions, or need assistance,
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